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Line 1

Case Name: *Clark J. Freitag, Inc. v. Anderson-Graves, LLC, et al.*
And Related Cross-Actions

Case No.: 25CV456740

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Cross-Defendant Clark J. Freitag, Inc. (“Cross-Defendant”) demurs to the First Amended Cross-Complaint (“FAXC”) of Cross-Complainants Anderson-Graves, LLC, Sharon Crocker, Kristi Anderson Lambert, and Anastasia Crocker Robbins (“Cross-Complainants”) under Code of Civil Procedure Section 430.10(e) on the ground that the FAXC fails to state facts sufficient to constitute a cause of action upon which relief can be granted. Notice of Demurrer (the “Demurrer”) at 1:26-2:5 (filed: Dec. 1, 2025).

The Demurrer came on for hearing on June 10, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

Background

Cross-Complainants Anderson-Graves, LLC (“Anderson-Graves”), Sharon Crocker (“Crocker”), Kristi Anderson Lambert (“Lambert”), and Anastasia Crocker Robbins (“Robbins”) (collectively, “Cross-Complainants”) bring this action against Cross-Defendant Clark J. Freitag, Inc. dba CF Commercial Real Estate Services (“Cross-Defendant”).

On January 17, 2025, Cross-Defendant filed the underlying action in this case. On February 28, 2025, it filed its First amended Complaint asserting claims for breach of contract, accounting, and declaratory relief.

On September 9, 2025, Cross-Complainants filed their initial Cross-Complaint, and then, on October 27, 2025, filed the operative FAXC.

The FAXC alleges Cross-Complainants owned commercial property (“the Property”) in San Jose, California. (FAXC, ¶ 2.) The previous tenants of the Property were paying \$17,505 a month before vacating. (*Ibid.*) In 2009, Cross-Defendant contacted Anderson-Graves’s agent, Spencer Anderson (“Anderson”) because Cross-Defendant’s client (“the Client”) was interested in renting the Property. (*Id.* at ¶ 3.) Anderson agreed that Cross-Defendant could represent Cross-Complainants in the transaction and as a result, Crocker executed an Exclusive Authorization to Lease (“Authorization”) to negotiate the lease with the Client. (*Id.* at ¶ 5.) The Authorization’s terms, which included an extension from April 2009 to end of September 2009, authorized Cross-Defendant to negotiate leases and receive a commission for procurement of tenants or sale. (*Id.* at ¶¶ 6,

7, 9.) Nothing in the Authorization provided for a sales commission in the event of a sale after the expiration of the Authorization. (*Id.* at ¶¶ 8, 10.)

After entering into the Authorization, Cross-Defendant negotiated both sides of the transaction for Anderson-Graves as the lessor and the Client as the lessee despite no discussions of dual agency and having undisclosed conflicts of interest. (FAXC, ¶¶ 11, 12, 13.) Cross-Defendant shared Cross-Complainants' confidential information to the Client and persuaded Cross-Complainants to accept lease terms that resulted in a lease below market value and other benefits to the Client. (*Id.* at ¶¶ 15, 16.) The negotiated lease was presented to Crocker to sign, who did not have experience with leases or managing commercial property without representation. (*Id.* at ¶ 17.) Cross-Defendant unilaterally amended the lease after it was signed to provide for a \$50,000 credit for improvements that Cross-Complainants did not become aware of for several years. (*Id.* at ¶ 18.)

After the Authorization expired, Cross-Defendant had little involvement with the Property and did not assist with the eventual sale 14 years later. (FAXC, ¶¶ 19, 27, 29-30.)

Cross-Complainants filed their FAXC asserting the following claims:

- 1) breach of fiduciary duty;
- 2) breach of contract;
- 3) financial elder abuse;
- 4) negligence; and
- 5) declaratory judgment.

On December 1, 2025, Cross-Defendant filed its Demurrer to the first four claims in the FAXC. Cross-Complainants oppose the motion and Cross-Defendant filed a reply.

I. Cross-Defendants' Demurrer to the FAXC

Cross-Defendant demurs generally to the first four claims on the ground they fail to state sufficient facts to constitute a cause of action under Code of Civil Procedure section 430.10, subdivision (e).

A. Cross-Defendant's Request for Judicial Notice

Cross-Defendant requests judicial notice of the following:

- 1) Initial cross-complaint filed on September 9, 2025 (Exhibit A).
- 2) The FAXC (Exhibit B).

The request for judicial notice of Exhibit A is GRANTED as it supports Cross-

Defendant's sham-pleading argument made in the Demurrer. (*Deveny v. Entropin, Inc.* (2006) 139 Cal.App.4th 408, 409 [policy against sham pleading allows for the court to take judicial notice of prior pleadings].) The request for judicial notice of Exhibit B is DENIED as unnecessary. (See *Paul v. Patton* (2015) 235 Cal.App.4th 1088, 1091, fn. 1 ["Judicial notice is unnecessary because, in our review of the demurrer ruling, we accept the allegations in the complaint and the facts in the exhibit as true"].)

B. Legal Standard on Demurrer

"The party against whom complaint or cross-complaint has been filed may object, by demurrer or answer as provided in [Code of Civil Procedure] section 430.30, to the pleading on any one or more of the following grounds: . . . (e) The pleading does not state sufficient facts to constitute cause of action." (C.C.P. § 430.10(e))

"A demurrer tests only the legal sufficiency of the pleading. It admits the truth of all material factual allegations in the complaint; the question of plaintiff's ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court." (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal. 3d 197, 213-214.) In ruling on demurrers, courts may consider matters subject to judicial notice. (*Scott v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal. App. 4th 743, 751.) Evidentiary facts found in exhibits attached to complaint can be considered on demurrer. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94.)

Under California law, even if a demurrer is sustained, leave to amend the complaint is routinely granted. "Liberality in permitting amendment is the rule, if fair opportunity to correct any defect has not been given." (*Angie M. v. Superior Court* (1995) 37 Cal. App. 4th 1217, 1227.) "Unless the complaint shows on its face that it is incapable of amendment, denial of leave to amend constitutes an abuse of discretion, irrespective of whether leave to amend is requested or not." (*McDonald v. Sup. Ct. (Flintkote Co.)* (1986) 180 Cal. App. 3d 297, 303-304.)

C. Analysis on Demurrer

In support of its Demurrer, Cross-Defendant argues: 1) the first, second, third, and fourth causes of action are time barred; and 2) even if the claims are not time-barred, they still fail to allege required elements of the claims.

1. Statute of Limitations

"The defense of a statute of limitations may be asserted by general demurrer if the complaint shows on its face that the statute bars the action." (*E-Fab, Inc. v. Accountants, Inc. Services* (2007) 153 Cal.App.4th 1308, 1315.) "There is an important qualification, however: 'In order for the bar of the statute of limitations to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows merely that the action may be barred.'" (*Id.* at pp. 1315-1316.) "In assessing whether plaintiff's claims against defendant are time-barred, two basic questions drive [the] analysis: (a) What statutes of limitations govern the plaintiff's

claims? (b) When did the plaintiff's causes of action accrue?" (*Id.* at p. 1316.) "The statute of limitations that applies to an action is governed by the gravamen of the complaint, not the cause of action pled." (*City of Vista v. Robert Thomas Sec.* (2000) 84 Cal.App.4th 882, 889.)

The following statutes of limitations apply here:

- 1) For the first cause of action for breach of fiduciary duty: three years if the breach is fraudulent or four years if the breach is nonfraudulent. (*American Master Lease LLC v. Idanta Partners, Ltd.* (2014) 225 Cal.App.4th 1451, 1479.)
- 2) For the second cause of action for breach of a written contract: a four-year statute of limitations. (*Eloquence Corp. v. Home Consignment Center* (2020) 49 Cal.App.5th 655, 661.)
- 3) For the third cause of action for financial elder abuse: four years. (Wel. & Inst. Code, § 15657.7.)
- 4) For the fourth cause of action for negligence: a two-year statute of limitations. (Code Civ. Proc., § 339.).

Hence, a key question that the Court will now analyze for each cause of action is whether it accrued before the applicable statute of limitations expired.

**a. The First Cause of Action for Breach of
Fiduciary Duty Is Time-Barred.**

"The elements of a cause of action for breach of fiduciary duty are the existence of a fiduciary relationship, its breach, and damage proximately caused by that breach." (*Thomson v. Canyon* (2011) 198 Cal.App.4th 594, 604.) Where damages are an element of a cause of action, the cause of action does not accrue until the damages have been sustained. (*Ibid.*; see also *Norgart v. Upjohn Co.* (1999) 21 Cal.4th 383, 397.) In this case, the alleged harm includes being trapped in a below-market rate lease for twenty years, not being informed of Cross-Defendant's dual agency, and entering into an "illegal agreement" that resulted in damages including financial losses for more than fifteen years. (FAXC, ¶¶ 35-36, 38-39.)

Cross-Defendant acknowledges that the alleged misconduct is a lease set at a below-market rent resulting in diminished income. (Demurrer, p. 5:5-7.) It argues that the applicable statute of limitations expired years before the FAXC was filed because the alleged misconduct occurred in 2010 and Cross-Defendant was not involved in the sale of the property in 2023. (*Id.* at p. 5:7-8.) As a result, Cross-Defendant asserts that Cross-Complainants' claims accrued in 2010 when Cross-Defendant presented the lease to Cross-Complainants. (*Id.* at p. 5:22-23.) It contends that the alleged harm was objectively discovered when the lease was executed and its terms became effective. (*Id.* at p. 5:23-25.) Cross-Defendant asserts that the FAXC itself alleges that the prior tenant was paying \$17,505 in monthly rent, while the new lease provided rent at \$10,000 per month. (*Id.* at

p. 5:25-28, citing FAXC, ¶¶ 2, 16.) This argument is not persuasive. (See *Schneider v. Union Oil Co.* (1970) 6 Cal.App.3d 987, 994 [“where a fiduciary relationship exists, facts that would ordinarily require investigation do not give rise to a duty of inquiry. . . . Actual knowledge or notice was required in order to start the running of the statute of limitations. In the instant case, the complaint alleged that plaintiff had no notice or knowledge . . .”].)

Finally, Cross-Defendant asserts a sham pleading argument, arguing that even if the claims did not accrue in 2010, they accrued no later than 2020 when Cross-Complainants’ manager reviewed the lease and discovered the terms now alleged to be wrongful. (Demurrer, p. 6:10-14, citing RJN, Ex. A, ¶ 17.) Cross-Defendant contends that these allegations were removed from the amended pleading and were replaced with allegations that Cross-Complainants did not discover the alleged wrongdoing until January 17, 2025. (*Id.* at p. 6:19-22, citing FAXC, ¶ 32.)

In opposition, Cross-Complainants contend that the original cross-complaint does not allege that they realized in 2020 that the rent was below market value, but does allege that they were unaware Cross-Defendant had unilaterally amended the lease. (Opposition, p. 6:13-22, citing Cross-Defendant’s RJN, Ex. A, ¶¶ 14, 21.)

The original Cross-Complaint alleges that Anderson and Crocker became aware they had been taken advantage of after Kristi Lambert took over as manager in September 2019 and preparation to sell the Property began in 2020. (RJN, Ex. A, ¶¶ 14, 17.) The pleading further alleges that in 2019, Anderson-Graves received inquiries about purchasing the Property but the potential buyer “decided not to make an offer on the Property because of the terrible terms of the below market rent negotiated by Cross-Defendant and because that rent would be ongoing for years due to multiple extensions locking in that rent made the Property undesirable. Those extensions were also negotiated by Cross-Defendant. This is the lease that Cross-Defendant had negotiated ostensibly on behalf of Cross-Complainants, but which in actuality benefited his other client . . . far more.” (*Id.* at ¶ 16.) Finally, the cross-complaint alleges that at that time (in 2020), Kristi Lambert learned Anderson-Graves was taken advantage of and “Cross-Defendant was nowhere to be found to offer counsel and protect Cross-Complainants’ interests.” (*Id.* at ¶ 19.) *But* the FAXC alleges that Cross-Complainants did not discover any of their causes of action against Cross-Defendant until Cross-Defendant filed its lawsuit against them on January 17, 2025; the prior allegations have been omitted.

Where a party “files an amended complaint and seeks to avoid the defects of a prior complaint either by omitting the facts that rendered the complaint defective or by pleading facts inconsistent with the allegations of prior pleadings. . . . the policy against sham pleading permits the court to take judicial notice of the prior pleadings and requires that the pleader explain the inconsistency.” (*Owens v. Kings Supermarket* (1988) 198 Cal.App.3d 379, 384.) Critically, “[i]f [it] fails to do so the court may disregard the inconsistent allegations and read into the amended complaint the allegations of the superseded complaint.” (*Ibid.*) Here, while allegations of potential sales are still present in the FAXC, Cross-Complainants have removed allegations pertaining to discovering they were taken advantage of and learning of the below-market rent at the time a potential

buyer backed out of the sale. (See *Metabyte, Inc. v. Technicolor S.A.* (2023) 94 Cal.App.5th 265, 280 [a plaintiff has reason to discover a cause of action when it has reason to suspect a factual basis for its elements].) The claim that they did not realize they were taken advantage of until Cross-Defendant filed the underlying pleading is not persuasive given the allegations that at least by 2020, Cross-Complainants could have made efforts to find out what was going on with the lease. Without explanation of this omission, the Court is persuaded by Cross-Defendant's sham pleading argument. As a result, based on the allegations in the Cross-Complaint, the breach-of-fiduciary-duty claim began accruing by at least 2020 and is therefore time-barred.

Accordingly, the Demurrer to the First Cause of Action is SUSTAINED.

b. The Second, Third, and Fourth Causes of Action Are Time-Barred.

As explained above, the second and third causes of action for breach of contract and financial elder abuse have a four-year statute of limitations, and the fourth claim for negligence has a two-year statute of limitations. Each claim is time-barred.

A breach of contract claim accrues at the time of the breach. (*Church v. Jamison* (2006) 143 Cal.App.4th 1568, 1583.) Here, the alleged breach occurred when the lease that Cross-Defendant negotiated between the parties served the Client "far more than it served Cross-Complainants." (FAXC, ¶ 43.) Thus, given that the parties entered in the Authorization in 2009 (FAXC, ¶11) and the terms of this contract ran from April 2009 until September 2010 (FAXC, ¶ 6), this breach of contract claim is time-barred.

A financial elder abuse claim accrues at the time the Cross-Complainants discovered, or through exercise of reasonable diligence should have discovered, the facts constituting the financial abuse. (See Wel. & Inst. Code, § 15657.7.) For the same reasons explained above as the first cause of action for breach of fiduciary duty, the third cause of action is also time-barred because the prior cross-complaint indicates that at least by 2020, Cross-Complainants could have made efforts to find out what was going on with the lease.

Finally, a negligence claim accrues when the claim is complete with all of its elements. (See *Siegel v. Anderson Homes, Inc.* (2004) 118 Cal.App.4th 994, 1011.) Here, like above, Cross-Complainants became aware they were harmed at least by 2020. Thus, the negligence claim is also time-barred.

Accordingly, the Demurrer to the second through fourth claims is SUSTAINED.

2. The Demurrer to the First, Second, Third, and Fourth Cause of Action is Sustained Without Leave to Amend.

Having sustained the Demurrer for the reasons explained above, the remaining but important question is whether the Court should sustain the Demurrer with or without leave to amend the pleading.

For leave to amend, the pleading party “bears the burden of proving there is a reasonable possibility of amendment.” (*Rakestraw v. California Physicians’ Service* (2000) 81 Cal.App.4th 39, 43 (*Rakestraw*).) To satisfy this burden, the party “must show in what manner [it] can amend [its] complaint and how that amendment will change the legal effect of [its] pleading.” (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349). Moreover, under the sham pleading doctrine, Cross-Complainants cannot amend to omit or change harmful allegations without explanation from previous pleadings to avoid attacks raised in demurrers.

Here, as explained above, the Court found persuasive the sham pleading argument asserted by Cross-Defendant. Further, Cross-Complainants have not carried their burden to explain the omissions or how any additional amendments will change the legal effect of their pleading. (See *Hendy v. Losse* (1991) 54 Cal.3d 723, 742-743 [affirming an order sustaining defendants’ demurrer without leave to amend when the plaintiff filed an amended complaint omitting harmful allegations from the original complaint].) Accordingly, under these facts and circumstances, the Court exercises its discretion to **DENY** leave to amend. (See *Shaeffer v. Califia Farms, LLC* (2020) 44 Cal.App5th 1125, 1145 [“The onus is on the plaintiff to articulate the ‘specifi[c] ways’ to cure the identified defect, and absent such an articulation, a trial or appellate court may grant leave to amend ‘only if a potentially effective amendment [is] both apparent and consistent with the plaintiff’s theory of the case.’”].)

Conclusion and Order

For the reasons explained above, the Demurrer of Cross-Defendant Clark J. Freitag, Inc. to the First, Second, Third, and Fourth Causes of Action of the First Amended Cross-Complaint of Cross-Complainants Anderson-Graves, LLC, Sharon Crocker, Kristi Anderson Lambert, and Anastasia Crocker Robbins under Code of Civil Procedure Section 430.10(e) is **SUSTAINED WITHOUT LEAVE TO AMEND**.

SO ORDERED.

Date: June 10, 2026

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

Line 2

Case Name: *Cavalry SPV I, LLC, as Assignee of Citibank N.A. v. Daljeet Kaur, et al.*

Case No.: 25CV460129

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Plaintiff Cavalry SPV I, LLC, as assignee of Citibank N.A., (“Plaintiff”) moves for Judgment on the Pleadings in favor of Plaintiff on the grounds that the Complaint states facts sufficient to constitute a cause of action against Defendant Daljeet Kaur (“Defendant”) and the Answer does not state facts sufficient to constitute a defense to the Complaint. Notice of Motion (the “Motion”) at 1:3-8 (filed: Oct. 15, 2025).

The Motion came on for hearing on June 10, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

On March 3, 2025, Plaintiff filed a Complaint with a single cause of action for breach of contract against Defendant for damages in the amount of \$3,859.43. Complaint at ¶¶ 5-17 (filed March 3, 2025). Having reviewed the Complaint, the Court finds that it *does* state facts sufficient to constitute a cause of action for breach of contract by Plaintiff against Defendant.

Defendant filed an Answer on March 7, 2025, which does not deny any allegation or claim in the Complaint. Answer (filed March 7, 2025). Having reviewed the Answer, the Court finds that it *does not* state facts sufficient to constitute any defense to the Complaint.

Code of Civil Procedure Section 438(a) authorizes a Plaintiff to bring this Motion for Judgment on the Pleadings where, as here, “the complaint states facts sufficient to constitute a cause or causes of action against the defendant and the answer does not state facts sufficient to constitute a defense to the complaint.” C.C.P. § 438(a).

Here, as the Court has found that (1) the Complaint states facts sufficient to constitute a cause of action for breach of contract against Defendant for damages in the amount of \$3,859.43, and (2) Defendant’s Answer does *not* state facts sufficient to constitute any defense to the Complaint, Plaintiff’s Motion under Section 438(a) is **GRANTED**.

More specifically, as the Court reads Defendant’s Answer to admit that Defendant owes the credit-card debt claimed by the Complaint, there is no reasonable possibility that this deficient Answer (which fails to state facts sufficient to constitute any defense) could be cured by amendment. Accordingly, the Motion is **GRANTED WITHOUT LEAVE TO AMEND**.

Defendant does not argue otherwise. Indeed, Defendant has not opposed the Motion at all, which the Court views as Defendant conceding the Motion. *D.I. Chadbourne, Inc. v. Super. Ct.* (1964) 60 Cal.2d 723, 728, fn. 4.; *see also* Rule of Court 8.54(c): “A failure to oppose a motion may be deemed a consent to the granting of the motion.” CRC Rule 8.54(c).)

Given this Order Granting Plaintiff’s Motion without leave to amend, Plaintiff is entitled to Judgment now in the amount of damages set forth in the Complaint of \$3,859.43, plus Plaintiff’s costs incurred for bringing this Motion (as set forth in the accompanying Declaration of attorney Jomari Lucero at ¶10, filed Oct. 15, 2025) in the amount of \$314.55 (which equals the \$181.00, service of process fee of \$73.55, and Motion fee in the amount of \$60.00). Hence, Judgment is entered now in favor of Plaintiff and against Defendant for the total amount of \$4,173.98 (which equals \$3,859.43 in damages plus \$314.55 in costs).

Conclusion and Order

For the reasons set forth above, Plaintiff’s Motion for Judgment on the pleadings for damages in the amount of \$3,859.43 as set forth in the Complaint plus costs in the amount of \$314.55 for a total amount of \$4,173.98 in favor of Plaintiff Cavalry SPV I, LLC, as Assignee of Citibank N.A., and against Defendant Daljeet Kaur, is **GRANTED WITHOUT LEAVE TO AMEND.**

SO ORDERED.

Date: June 10, 2026

Vincent I. Parrett
Judge of the Superior Court of California,
County of Santa Clara

Judgment

IT IS SO ORDERED: This Court, having Ordered Judgment on the Pleadings and having good cause, renders Judgment as follows:

1. That Judgment be entered now against Defendant Daljeet Kaur, an individual, and for Plaintiff Cavalry SPV I, LLC, as Assignee of Citibank N.A.; and
2. Plaintiff Cavalry SPV I, LLC, as Assignee of Citibank N.A., shall recover from Defendant Daljeet Kaur, as damages, the principal balance of \$3,859.43, plus reimbursable costs in the amount of \$314.55, for a Total Judgment of \$4,173.98.

Date: June 3, 2026

Vincent I. Parrett
Judge of the Superior Court of California,
County of Santa Clara

Line 3

Case Name: *Joel Weissbart v. General Motors, LLC, et al.*

Case No.: 25CV468818

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Defendant General Motors LLC (“GM” or “Defendant”) demurs to the Complaint filed by Plaintiff Joel Weissbart (“Plaintiff”) under Code of Civil Procedure Section 430.10(e) on the ground that Plaintiff cannot state his cause of action for breach of implied warranty because it is barred by the statute of limitations, and his fifth cause of action for fraudulent inducement-concealment fails because Plaintiff fails to sufficiently plead the essential elements of a fraud claim. Notice of Demurrer (the “Demurrer”) at 1:3-8 (filed: Oct. 16, 2025). Moreover, Defendant demurs on the ground that the fraud claim is barred by the economic loss rule, the independent tort principle, and the statute of limitations. *Id.* at 1:9-10.

The Demurrer came on for hearing on June 10, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

I. Factual Allegations

On February 6, 2021, Plaintiff entered in to a “bumper to bumper” warranty contract with GM for a 2021, Cadillac Escalade, vehicle identification number 1GYS4FKL6MR245887(“Subject Vehicle”), which was manufactured and/or distributed by GM. (Complaint ¶¶ 6,7)

Before Plaintiff purchased the Subject Vehicle, GM knew that vehicles equipped with the 6.2L engine, as installed in the Subject Vehicle, suffered from one or more defects that resulted in loss of power, stalling, running rough, or engine misfires. (“Engine Defect”) GM acquired this knowledge through various sources of information, including but not limited to pre-production and post-production testing, consumer complaints made exclusively to GM and its network of dealers, aggregate warranty data compiled from GM’s network of dealers, testing conducted by GM in response to consumer complaints, and repair order and parts data received by GM from its network of dealers. (FAC ¶¶ 51, 57)

GM concealed the Engine Defects and instead implemented a strategy with its dealers where symptoms of the defect were ineffectively repaired but not the underlying cause. As a result of GM’s silence and inaction, Plaintiff was unaware that he was purchasing an unsafe and unreliable vehicle.(Complaint ¶¶ 65, 68, 69, 71)

Plaintiff filed this action on June 23, 2025, alleging causes of action for:

- (1) Violation of Civil Code section 1793.2, subdivision (d);
- (2) Violation of Civil Code section 1793.2, subdivision (b);
- (3) Violation of Civil Code section 1793.2, subdivision (a)(3);
- (4) Breach of the Implied Warranty of Merchantability; and
- (5) Fraudulent Inducement – Concealment.

II. Legal Standard

“The party against whom complaint or cross-complaint has been filed may object, by demurrer or answer as provided in [Code of Civil Procedure] section 430.30, to the pleading on any one or more of the following grounds: . . . (e) The pleading does not state sufficient facts to constitute cause of action, (f) The pleading is uncertain.” (C.C.P. § 430.10(e) & (f).)

A demurrer may be used by “[t]he party against whom complaint has been filed” to object to the legal sufficiency of the pleading as whole, or to any “cause of action” stated therein, on one or more of the grounds enumerated by statute. (C.C.P. §§ 430.10 & 430.50(a).)

“A demurrer tests only the legal sufficiency of the pleading. It admits the truth of all material factual allegations in the complaint; the question of plaintiff’s ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court.” (*Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal. 3d 197, 213-214.) In ruling on demurrers, courts may consider matters subject to judicial notice. (*Scott v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal. App. 4th 743, 751.) Evidentiary facts found in exhibits attached to complaint can be considered on demurrer. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94.)

Under California law, even if a demurrer is sustained, leave to amend the complaint is routinely granted. “Liberality in permitting amendment is the rule, if fair opportunity to correct any defect has not been given.” (*Angie M. v. Superior Court* (1995) 37 Cal. App. 4th 1217, 1227.) “Unless the complaint shows on its face that it is incapable of amendment, denial of leave to amend constitutes an abuse of discretion, irrespective of whether leave to amend is requested or not.” (*McDonald v. Sup. Ct. (Flintkote Co.)* (1986) 180 Cal. App. 3d 297, 303-304.)

III. Analysis

A. Plaintiffs’ Fourth & Fifth Causes of Action Are Not Time-barred.

GM argues that both the fourth and fifth causes of action are time-barred by their

applicable four-year and three-year statute of limitation respectively because (1) the statutory limitations accrued on the date Plaintiff purchased the vehicle i.e. February 6, 2021, (2) the Complaint fails to allege any temporal facts that would permit tolling or the inference of tolling, (3) Plaintiff cannot invoke the delayed discovery rule since he affirmatively plead the alleged defects manifested themselves during the applicable express warranty period which began on the purchase date, and (4) the Complaint fails to allege facts necessary to invoke the delayed discovery. (Motion pp. 8:12-10:4)

1. Analysis for Claim of Breach of Implied Warranty of Merchantability

Under California law, the statute of limitations for a cause of action for breach of warranty under the Song-Beverly Act is governed by section 2725 of the Uniform Commercial Code. (*Mexia v. Rinker Boat Co., Inc.*, (2009) 174 Cal. App. 4th 1297, 1306.) So Song-Beverly claims are subject to a four-year statute of limitations period that commences when the action accrues, i.e. when the breach occurs. (*Schick v. BMW of N. Am., LLC*, (9th Cir. 2020) 801 F. App'x 519, 520; *see also, Montoya v. Ford Motor Co.* (2020) 46 Cal. App.5th 493, 495.; Cal. Com. Code. § 2725(2).) Typically, a breach of the implied warranty of merchantability occurs at the date of sale. (*Cardinal Health 301, Inc. v. Tyco Elecs. Corp.*, (2008) 169 Cal. App. 4th 116, 134.)

But the Song-Beverly Act provides that—when accompanied by an express warranty of future performance spanning one year or longer the duration of the implied warranty of merchantability may extend to a period of not more than one year after purchase. (See, Cal. Civ. Code § 1791.1(c).) This provision is held to extend an implied warranty to future performance, such that “the implied warranty of merchantability may be breached by a latent defect undiscoverable at time of sale.” (*Mexia, supra*, 174 Cal. App. 4th at p. 1308.) While the duration provision of § 1791.1(c) provides that an implied warranty of merchantability may not extend longer than one year, “[t]here is nothing that suggests a requirement that the purchaser discover and report to the seller a latent defect within that time period.” (*Id.* at 1310.) “In the case of a latent defect . . . the warranty of merchantability is breached, by the existence of the unseen defect, not by its subsequent discovery.” (*Id.* at 1305.)

Here, the express warranty was for four years or 50,000 miles, whichever occurred first. (Complaint Ex. A) As such, the implied warranty was extended to its outer limit of one year under § 1791.1(c). Therefore, any breach of warranty must have occurred on or before February 6, 2022—whether Plaintiff discovered the breach during that period or after—and the four-year statute of limitations expired no later than February 6, 2026. Plaintiff’s Complaint was filed on June 23, 2025, well within this statutory deadline. Hence, the applicable statute of limitations has not expired.

2. Analysis for Claim of Fraudulent Inducement

Claims for fraudulent inducement based on concealment are subject to a three-year statute of limitations. (Code Civ. Proc., § 338(d).) A general demurrer based on the statute of limitations is only permissible when the grounds for the defense are disclosed

on the face of the complaint or from matters judicially noticed. (*Vaca v. Wachovia Mortgage Corp.* (2011) 198 Cal.App.4th 737, 746; *Iverson, Yoakum, Papiano & Hatch v. Berwald* (1999) 76 Cal.App.4th 990, 995.) In other words, the dates alleged in the complaint must show the action is barred by the applicable statute of limitations and the running of the statute must appear clearly and affirmatively from the alleged dates. If not, the proper remedy is to ascertain the factual basis of the contention through discovery and, if necessary, file a motion for summary judgment. (See, *Roman v. County of Los Angeles* (2000) 85 Cal.App.4th 316, 324-325.)

GM contends that Plaintiff's claim accrued on February 6, 2021, when the Subject Vehicle was purchased and the express warranty went into effect. Therefore the latest filing date for the complaint was February 6, 2024. (Motion p. 9:14-17) But a fraud claim "is not deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake." (Code Civ. Proc., § 338, subd.(d).) Plaintiff alleges he discovered GM's wrongful conduct shortly before the filing of his Complaint, as the Subject Vehicle continued to exhibit symptoms of engine defects following GM's unsuccessful attempts to repair them. (Complaint ¶ 24) Nothing in the complaint specifies or shows when Plaintiff discovered the alleged fraud. And a demurrer on the ground that the claim is barred by a statute of limitations will not lie where the claim may be, but is not necessarily barred. (*Lockley v. Law Office of Cantrell, Green, Pekich, Cruz & McCort* (2001) 91 Cal.App.4th 875, 881.). Hence, the statute of limitations does not bar Plaintiff's claim here.

B. The Fifth Cause of Action Well Pleads a Duty to Disclose.

As put by *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal. 5th 1:

A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as the plaintiff's fiduciary or is in some other confidential relationship with the plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to the defendant, and the defendant knows those facts are not known or reasonably discoverable by the plaintiff (*i.e.*, exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (*i.e.* partial concealment); or (5) the defendant actively conceals discovery of material fact from the plaintiff (*i.e.*, active concealment). Circumstances (3), (4), and (5) presuppose a preexisting relationship between the parties, such as "between seller and buyer . . . or parties entering into any kind of contractual agreement. All of *these relationships are created by transactions between parties* from which a duty to disclose facts material to the transaction arises under certain circumstances.

(*Rattagan, supra*, 17 Cal. 5th at 40 (emphasis added).)

Here, GM argues the Complaint fails to establish it owed Plaintiff a legal duty of disclosure because there was no direct transactional relationship between Plaintiff and

GM since the subject vehicle was not directly purchased from GM. (Motion pp. 12:5-13:21) But GM's argument fails because "[a] relationship between the parties is present if there is some sort of transaction between the parties." (*Hoffman v. 162 N. Wolfe LLC*, (2014) 228 Cal. App. 4th 1178, 1187.) Plaintiff *does* allege that he entered into an express warranty agreement with GM on February 6, 2021. (Complaint ¶ 6) Giving Plaintiff the benefit of all reasonable inferences from this allegation, as the Court must do in the procedural posture of resolving this demurrer, the Court finds that Plaintiff has well pleaded sufficient facts establishing a direct transactional relationship with GM, from which the duty to disclose arises.

C. The Fifth Cause of Action is Pleaded With Specificity.

GM contends that Plaintiff fails to plead with particularity (1) the nature of the defect GM allegedly concealed; (2) what engine-related failure was manifested by the Subject Vehicle; (3) GM's exclusive knowledge and active concealment of the defect; (4) Plaintiff's justifiable and actual reliance. GM emphasizes that Plaintiff's vague "pre-production testing data" allegation is insufficient as it fails to allege the nature of the tests, their connection to the defect at issue, and what the testing revealed. (Motion pp. 10:27-11:12, 14:14-23, 15:5-9, 15:11-16:10.)

The essential elements of a fraud cause of action based on concealment or nondisclosure are: (1) the defendant had a duty to disclose the concealed or suppressed fact to the plaintiff; (2) the defendant intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, and (3) the plaintiff was damaged as a result. (*Jones v. ConocoPhillips* (2011) 198 Cal.App.4th 1187, 1198.)

It is a general principle of California law that each element in a fraud cause of action must be pleaded with specificity. (*Lazar v. Super. Ct. (Rykoff-Sexton, Inc.)* (1996) 12 Cal.4th 631, 645.) But this pleading requirement is relaxed in the case of fraud *by concealment or omission* because, as one court has explained, "[h]ow does one show 'how' and 'by what means' something didn't happen, or 'when it never happened, or 'where' it never happened?" (*Alfaro v. Community Housing Imp. System Planning Ass'n., Inc.* (2009) 171 Cal. App. 4th 1356, 1384.)

Additionally, one of the purposes of the specificity-in-pleading-fraud requirement is to provide "notice to the defendant, to furnish the defendant with certain definite charges which can be intelligently met." (*Committee, supra*, 35 Cal.3d at 216, internal quotations omitted.) So where, as here, "it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy, even under strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party. . . ." (*Id.* at p.217; *see also Bushell v. JPMorgan Chase Bank, N.A.* (2013) 220 Cal. App. 4th 915, 931 ["plaintiffs did not have to specify the . . . personnel who prepared these documents because that information is uniquely within . . . [defendant's] knowledge."].) Here, the Complaint sufficiently alleges that:

- GM knew the subject vehicle had an engine defect that resulted in loss of power,

stalling, running rough, or engine misfires;

- This knowledge was acquired from GM's gathered internal data about the engine and from sources that were unavailable to Plaintiff;
- GM concealed the engine defect and failed to disclose it to Plaintiff at the time of the sale or thereafter; and
- Plaintiff would not have purchased the Subject Vehicle had he known of the engine defects.

(Complaint 47, 51, 54, 57.)

Those allegations are pleaded with the requisite particularity because it is GM who has possession of the information concerning those allegations, and any questions thereon may be cleared up through discovery. (*See Ludgate Ins. Co. v. Lockheed Martin Corp.* (2000) 82 Cal. App. 4th 592, 608 [Sixth District stating that "[t]here is no need to require specificity in the pleadings because 'modern discovery procedures necessarily affect the amount of detail that should be required in a pleading.'"].)

D. The Fifth Cause of Action is Not Barred by the Economic Loss Rule

GM cites *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, in support of its argument that the claim is barred by the economic loss rule because Plaintiff cannot establish that (1) GM's alleged conduct violated a duty independent of the duties and rights assumed under the warranty contract, and (2) the damage to the Vehicle was not contemplated by the parties when the contract was formed. (Motion p. 17:3-9) But GM's argument is unfounded.

Rattagan expressly explained that that "the economic loss rule does not apply to limit recovery for intentional tort claims like fraud." (*Id.* at p.38.) "A plaintiff may assert an independent claim of fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the cause of action can be established independently of the parties' contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered in the agreement." (*Ibid.*)

And as the Court already ruled above, Plaintiffs have sufficiently alleged a claim for fraudulent concealment stemming from GM's duty to disclose exclusively known material facts, which is independent of GM's alleged breach of its duty to repair under the contracted warranty. Moreover, the economic loss rule is not a complete defense, but instead relates to the damage element of a tort cause of action. (*Greystone Homes, Inc. v. Midtec, Inc.* (2008) 168 Cal.App.4th 1194, 1215.)

Accordingly, the economic loss rule does not bar Plaintiff's fifth cause of action.

IV. Conclusion & Order

Accordingly, as all of GM's arguments fail, GM's demurrer is **OVERRULED**.

SO ORDERED.

Date: June 10, 2026

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

Line 4

Case Name: *Kellie Karen Stafford v. Volkswagen Group of America Inc., et al.*

Case No.: 24CV449054

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Defendant Volkswagen Group of America, Inc. (“VWGoA” or “Defendant”) moves under Code of Civil Procedure Sections 2025.410 and 2025.450 to compel Plaintiff Kellie Karen Stafford (“Plaintiff”) to attend a deposition and produce documents at the deposition, and for monetary sanctions in the amount of \$2,035.00 against Plaintiff and her counsel of record, Strategic Legal Practices, APC, jointly and severally. Notice of Motion (the “Motion”) at 2:1-5 (filed: Oct. 8, 2025).

The Motion came on for hearing on June 10, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

This is a straightforward Motion for the Court to resolve.

After Defendant on July 23, 2025, properly noticed the deposition of Plaintiff for September 3, 2025 (Declaration of Alex G. Kalifeh in Support of Motion (“Kalifeh Decl.”) at ¶ 5 & its Ex. C, the “Notice of Deposition”), Plaintiff was *required* to show up and testify at this noticed deposition on September 3, 2025. C.C.P. §§ 2025.010, 205.240, 2025.280, 2025.450(a). This was not optional. But Plaintiff did not show up to testify at this noticed September 3, 2025 deposition. Kalifeh Decl. at ¶8 and its Ex. F (Certification of Non-Appearance).

Lest there be doubt, between July 23, 2025 when Defendant served this Notice of Deposition on Plaintiff, and the noticed September 3, 2025 deposition itself, Plaintiff never objected to this Notice of Deposition nor responded Defendant’s meet and confer correspondence with alternative deposition dates for Plaintiff. Kalifeh Decl. at ¶7. So in light of—

1. Plaintiff’s failure to object to this Notice of Deposition,
2. Plaintiff’s failure to respond with alternative deposition dates to the meet and confer correspondence between July 23, 2025 when the Notice of Deposition was served and the September 3, 2025 noticed deposition, and
3. Plaintiff’s failure to appear at the noticed deposition on September 3, 2025

—the Court finds and rules that Defendant was justified in filing this Motion to when it did on October 8, 2025 to compel Plaintiff’s deposition.

In Opposition, Plaintiff offers as an excuse that months after this Motion was filed on October 8, 2025, Plaintiff on January 9, 2026 offered February 19, 2026 for a deposition date, Plaintiff's deposition began on February 19, 2026, and Plaintiff has offered dates of June 5, 2026 and Jun 12, 2026 to complete Plaintiff's deposition. Declaration of Lara Abdo in Opposition to Motion ("Abdo Decl.") at ¶¶4-5. In a nutshell, Plaintiff argues that the Motion is moot because months after the Motion was brought Plaintiff decided to get around to offering dates to complete this noticed deposition. See Opp. at 1:21-23 ("As Plaintiff has offered June 5, 2026 and June 2026, for the completion of the deposition, this Motion is unnecessary [and] should be denied in its entirety.")

Plaintiff is wrong. Plaintiff belatedly getting around to providing deposition dates on which she promises to complete her deposition does not excuse her misconduct for failing to appear for the duly-noticed deposition on September 3, 2025.

And while her counsel represents that Plaintiff "remains willing" to proceed on June 12, 2026 to complete this deposition¹—a representation this Court will enforce—the attitude by Plaintiff and her counsel that this deposition of this party is optional, to be done when she is "willing" or feels like it, is *seriously mistaken*.

Accordingly, under the statutory authority granted by Code of Civil Procedure Section 2045.450(a), the Court **GRANTS** this Motion compelling Plaintiff Kellie Karen Stafford attendance and testimony at deposition. Specifically, the Court **ORDERS** Plaintiff Kellie Karen Stafford to appear and testify at deposition on Friday, June 12, 2026, at 9:00 AM.²

Regarding Defendant's request that Plaintiff produce documents at her deposition, Plaintiff will do so. The Notice that Defendant served on Plaintiff on July 23, 2025, contains 17 Requests for Production of Documents ("RFPs") that the Court has reviewed and which under Code of Civil Procedure Section 2025.220 specify with reasonable particularity the materials to be produced by Plaintiff at this deposition. Kalifeh Decl., Ex. C. Notably, between July 23, 2025 when this Notice of Deposition was served on Plaintiff and the September 3, 2025 noticed deposition date, Plaintiff never objected to these Code-Compliant RFPs—and was not at liberty to ignore them. So Plaintiff has the clear duty to provide Code-Compliant responses to these RFPs at her June 12, 2026 deposition—including producing all responsive, non-privileged documents to those 17 RFPs before or at these depositions.

Accordingly, the Court **ORDERS** Plaintiff Kellie Karen Stafford to provide Code-Compliant Responses and produce all non-privileged documents in her possession, custody, or control that are responsive to the 17 RFPs at her June 12, 2026 deposition.

¹ Abdo Decl. at ¶ 5

² Lest anyone protest that there is any unfairness whatever in compelling Plaintiff to complete her deposition on June 12, 2026, this is the exact date that Plaintiff's own counsel in her sworn Declaration has told the Court that Plaintiff "remains willing" to be deposed on. Abdo Decl. at ¶ 5.

Regarding Defendant's request for a monetary sanction, the Court has authority and discretion under Code of Civil Procedure Section 2023.030(a) to impose a reasonable sanction against Plaintiff here for her misuse of the discovery process by failing to appear and testify at her noticed September 3, 2025, deposition and produce responsive documents at this September 3, 2025 deposition. "The court may impose a monetary sanction ordering that one engaging in the misuse of the discovery process, or any attorney advising that conduct, or both pay the *reasonable* expenses, including attorney's fees, incurred by anyone as a result of that conduct." C.C.P. § 2023.030(a) (emphasis added).

In Opposition, Plaintiff argues that "sanctions are unwarranted" because "Plaintiff appeared for her deposition on February 19, 2026, however it was not completed [and] Plaintiff's counsel offered June 5, 2026, and June 12, 2026 for completion of Plaintiff's deposition." Opp. at 2:16-19. In other words, Plaintiff argues that because she made a subsequent cure after this Motion was filed, sanctions should not be awarded.

Plaintiff is wrong again. Under the plain text of California Rule of Court 3.1348(a): "The court may award sanctions under the Discovery Act in favor of a party who files a motion to compel discovery, even though . . . the requested discovery was provided to the moving party after the motion was filed." C.R.C. 3.1348(a). So even though Plaintiff arguably made a subsequent cure by months after this Motion was filed by starting her deposition and providing dates in June 2026 to complete it, the Court retains authority to address the appropriate amount of sanctions to impose against Plaintiff that Defendant *reasonably* incurred for filing this Motion on October 8, 2025. *Id.*; see also *Sinaiko Healthcare Consulting, Inc. v. Pacific Healthcare Consultants* (2007) 148 Cal. App. 4th 390, at 408-409 ("once a party has failed to serve timely interrogatory responses, the trial court has the authority to hear a propounding party's motion to compel responses . . . regardless of whether a party [later] serves an untimely response[,] and going on to cite and quote Rule 3.1030(a), which in 2009 was renumbered as Rule 3.1348(a) *supra*, that the court may award sanctions even though the requested discovery responses were served after the motion was filed.)

In light of the plain text of Rule 3.1348(a), the Court agrees with Defendant that even though Plaintiff *after* this Motion was filed started her deposition and provided dates in June 2026 to complete it, the Court retains authority and discretion under Code of Civil Procedure Section 2023.030(a) to impose a reasonable sanction against Plaintiff here: "The court may impose a monetary sanction ordering that one engaging in the misuse of the discovery process, or any attorney advising that conduct, or both pay the *reasonable* expenses, including attorney's fees, incurred by anyone as a result of that conduct." C.C.P. § 2023.030(a) (emphasis added). And, lest there be doubt, the Court reads Section 2023.010(d) to mean that failing to *timely* "respond . . . to an authorized method of discovery" like a Notice of Deposition is a "misuse of the discovery process" (C.C.P. § 2023.010(d)) subject to a reasonable sanction under Section 2023.030(a).

Here, Plaintiff had no justification, let alone "substantial justification," in failing to appear and testify at her duly-noticed deposition on September 3, 2025. And because

Plaintiff had a duty to attend and testify at her September 3, 2025 deposition (*and* produce responsive documents to the RFPs at this deposition) but failed to do so, the Court finds and rules as a matter of logic and law that Defendant was justified in filing this Motion on October 8, 2025, to compel Plaintiff to testify and produce documents and this deposition.

Hence, while the Court here may and will award Defendant a monetary sanction paid by Plaintiff for Defendant's reasonable attorney's fees incurred for this Motion, the *amount* of this sanction is within the wide discretion of the Court. Simply put, the Court gets to determine what amount is *reasonable* under these circumstances.

For a sanction, Defendant seek a total of \$2,035.00, which equals 5.0 hours of attorney work at a billable rate of \$395.00 per hour (= \$1,975.00 in attorneys' fees) plus \$60.00 in costs for the filing fee for this Motion. Kalifeh Decl. at ¶ 8. In light of prevailing rates in the relevant market for the performance of counsel, the Court rules that this billable rate sought of \$395.00 is reasonable. But the number of 5.0 hours requested for this straightforward Motion filed on October 8, 2025 is unreasonable because this Motion is a layup. All Defendant had to do to win was point that it duly served on Plaintiff the Notice of Deposition with the RFP requests (it did); Plaintiff did not testify and produce documents at the September 3, 2025 noticed deposition (she did not); and California law requires Plaintiff to do so (it does). That reasonably should take able counsel for Defendant 2.0 hours total.

Accordingly, the Court **GRANTS** and awards Defendant a total monetary sanction against Plaintiff of **\$850.00**, which equals \$790.00 in reasonable attorneys' fees (= 2.0 hours x \$395.00 per hour) plus reasonable costs of \$60.00 for the filing fee for this Motion.

Conclusion & Order

Accordingly, Defendant's Motion is **GRANTED**. Specifically, the Court **ORDERS**:

1. Plaintiff Kellie Karen Stafford must appear and testify at her deposition on Friday, June 12, 2026, at 9:00 AM;
2. At her June 12, 2026 deposition, Plaintiff Kellie Karen Stafford must:
 - (a) provide Code-Compliant responses to the 17 RFPs served on July 23, 2025, in the Notice of Deposition, and
 - (b) produce to Defendant all responsive, non-privileged documents to those 17 RFPs; and
3. Within ten days from today, Plaintiff Kellie Karen Stafford must pay Defendant Volkswagen Group of America, Inc. a monetary sanction of **\$850.00** for Defendant's reasonable attorneys' fees and costs for this Motion.

Plaintiff Kellie Karen Stafford is put on **NOTICE** that if she fails to comply with this **ORDER** then Plaintiff Kellie Karen Stafford will be subject to further escalating sanctions, including monetary and non-monetary sanctions such as evidentiary, issue, and terminating sanctions.

SO ORDERED.

Date: June 10, 2026

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

Line 5

Case Name: *Michelle Bailey v. Alireza Hekmati*

Case No.: 25CV471487

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Defendant Alireza Hekmati (“Defendant”) moves to compel Plaintiff Michelle Bailey (“Plaintiff”) to provide verified responses without objections to Form Interrogatories, Special Interrogatories, and Request for Production of Documents (“RFPs”), and for sanctions to be imposed against Plaintiff and in favor of Defendant and its counsel in the amount of \$600.00. Notice of Motion (the “Motion”) at 1:23-27 (filed: Oct. 14, 2025).

The Motion came on for hearing on June 10, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

This is a simple, straightforward Motion for the Court to resolve.

On August 13, 2025, Defendant served the following Code-Compliant discovery requests on Plaintiff:

- Form Interrogatories, Set One;
- Special Interrogatories, Set One; and
- Requests for Production of Documents (“RFPs”), Set One.

Declaration of attorney Christopher Tuttle (the “Tuttle Decl.”) In Support of Motion at ¶ 2 & Ex. A thereto (filed: Oct. 14, 2025).

Under California law, Plaintiff has a clear duty to provide verified Code-Compliant responses to these discovery requests.

To be Code Compliant, Plaintiff’s verified responses must:

- For these Interrogatories (Form and Special) comply with Code of Civil Procedure Sections 2030.210 & 2030.220 by providing answers to each interrogatory that are as complete and straightforward as the information reasonably available to Plaintiff permits; C.C.P. §§ 2030.210 & 2030.220; *and*

- For these RFPs comply with Code of Civil Procedure Sections 2031.210-2031.230 by stating:

(a) Plaintiff will comply with the RFPs—*and then* produce the documents and items requested;

(b) Plaintiff is unable to comply with the RFPs because the requested documents and items have never existed; or

(c) after diligent search and reasonable inquiry, Plaintiff is are unable to comply because the requested documents and items no longer exist or are no longer in his possession.

C.C.P. §§ 2031.210, 2031.220, 2031.230.

Here, the deadline for Plaintiff to provide verified Code-Compliant responses to these Interrogatories and RFPs was September 16, 2025. Tuttle Decl. at ¶ 6. Defendant’s counsel made good faith efforts to meet and confer with Plaintiff *and* offered to give Plaintiff an extension of the deadline to provide verified Code-Compliant responses to these Interrogatories and RFPs. Tuttle Decl. at ¶¶ 7-12 & Ex. B thereto. But Plaintiff never requested an extension of time to respond to these Interrogatories and RFPs. *Id.* at ¶6.

Now, nearly nine months after the deadline expired for Plaintiff to respond to these discovery requests, Plaintiff never provided verified Code-Compliant responses. Tuttle Decl. at ¶ 13. Plaintiff does not argue otherwise. Indeed, Plaintiff has not opposed this Motion at all, which the Court views as Plaintiff conceding the Motion. *D.I. Chadbourne, Inc. v. Super. Ct.* (1964) 60 Cal.2d 723, 728, fn. 4.; *see also* Rule of Court 8.54(c): “A failure to oppose a motion may be deemed a consent to the granting of the motion.” CRC Rule 8.54(c).)

Hence, because it is undisputed that—

(1) Plaintiff never provided verified Code-Compliant responses to these discovery requests, and

(2) the September 16, 2025 deadline for Plaintiff to respond had expired,

—it follows as a matter of logic and law that Defendant was justified in filing this Motion against Plaintiff on October 14, 2025, to compel Plaintiff to provide verified Code-Compliant responses to these discovery requests, which the Court will now compel Plaintiff to do within 30 days from today.³

³ Beyond compelling Plaintiff to provide verified Code-Compliant responses now, Defendant also asks the Court to compel Plaintiff to provide verified Code-Compliant responses *without objections* now. Def. Memo. of Points & Authorities at 3:11-21. While the Court has discretion to do so, compelling Plaintiff to waive objections strikes the

Which brings us to the issue of sanctions. The Court has broad authority under Code of Civil Procedure Section 2023.030(a) to impose a reasonable sanction against Plaintiff here: “The court may impose a monetary sanction ordering that one engaging in the misuse of the discovery process, or any attorney advising that conduct, or both pay the *reasonable* expenses, including attorney’s fees, incurred by anyone as a result of that conduct.” C.C.P. § 2023.030(a) (emphasis added). And Plaintiff’s failure to provide verified Code-Compliant responses to these Code-Compliant discovery requests is a misuse of the discovery process. C.C.P. § 2023.010(d)

So while the Court here can and will award Defendant a monetary sanction paid by Plaintiff for Defendant’s reasonable attorney’s fees and costs incurred for this Motion, the *amount* of this sanction is within the wide discretion of the Court. Simply put, the Court gets to determine what amount is *reasonable* under these circumstances.

Here, Defendant requests \$600.00 monetary sanction for its attorneys’ fees for four hours of work (which the Court construes as 4 hours at \$150.00 per hour), plus the \$60.00 filing fee for this Motion. Tuttle Decl. at ¶ 14. In light of prevailing rates in the relevant market, the Court rules that this billable rate sought of \$150.00 per hour is reasonable. *But* the number of 4.0 hours requested for this simple, straightforward Motion is *unreasonable* because this Motion was a layup.

All Defendant had to do to win this Motion was point out the undisputed facts that Defendant served these discovery requests on Plaintiff (he did), Plaintiff did not provide verified Code-Compliant responses (she did not), and the law requires Plaintiff to provide verified Code-Compliant responses (it does). That reasonably should have taken able counsel for Defendant one hour total. And there is no need for any reply brief or for counsel to spend any but *de minimis* time at a hearing on this Motion *that is uncontested*.

Regarding the \$60.00 filing fee sought as a reasonable cost incurred for this Motion, the Court agrees that this \$60.00 cost for this Motion is reasonable.

Hence, in the broad exercise of its discretion, the Court awards Defendant a monetary sanction of **\$210.00** (= attorneys’ fees of 1.0 hour at \$150.00 an hour, plus the \$60.00 filing fee for this Motion) to be paid by Plaintiff within 30 days from today for the reasonable attorneys’ fees and costs incurred by Defendant for this Motion.

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Court as a bit too harsh *as of now*. So *within* Plaintiff’s verified Code-Compliant responses that Plaintiff is ORDERED to provide to Defendant within 30 days of today, Plaintiff may include appropriate objections. But if for whatever reason Plaintiff fails to comply with this Order to provide verified Code-Compliant responses to these discovery requests within 30 days of today, the Court’s view on this point may change and then *at that point* the Court might indeed rule that Plaintiff has waived all objections to these discovery requests.

Conclusion and Order

Accordingly, the Court **GRANTS** Defendant Alireza Hekmati's Motion as follows:
The Court **ORDERS Plaintiff Michelle Bailey within 30 days of today to:**

- (1) Provide full and complete Code-Compliant Responses to the Form Interrogatories, Set One, served on Plaintiff on August 13, 2025;
- (2) Provide full and complete Code-Compliant Responses to the Special Interrogatories, Set One, served on Plaintiff on August 13, 2025;
- (3) Provide full and complete Code-Compliant responses to Requests for Production of Documents, Set One, served on Plaintiff on August 13, 2025;
- (4) Produce all responsive, non-privileged documents requested by the Requests for Production of Documents, Set One; *and*
- (5) Pay Defendant Alireza Hekmati \$210.00 as a monetary sanction for Defendant's reasonable attorneys' fees and costs for this Motion.

Note Well: Plaintiff Michelle Bailey is put on **NOTICE** that if she fails to comply with this Order within 30 days from today then Plaintiff Michelle Bailey will be subject to further escalating monetary and non-monetary sanctions including, but not limited to, issue, evidentiary, and terminating sanctions.

SO ORDERED.

Date: June 10, 2026

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

Line 6

Case Name: *BHS Law LLP v. Moreh, Inc.*

Case No.: 25CV462175

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

In its Amended Motion for leave to file a First Amended Complaint (“FAC”), Plaintiff/Cross-Defendant, BHS LAW (“BHS”) seeks to clarify and streamline its allegations concerning the parties’ course of dealing, the expansion of the scope of legal services beyond the limited written engagement, and Defendant/Cross-Complainant, Moreh Inc.’s (“Moreh”) failure to pay the reasonable value of services rendered. (Notice of Amended Motion (the “Amended Motion”) at 2:10-12) (filed on May 14, 2026).⁴

The Amended Motion came on for hearing on June 10, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

I. Factual Allegations

On April 6, 2021, an Engagement Agreement was made between BHS and Moreh for legal services. Paragraph 17 of the Agreement authorized BHS to raise the billing rates once a year to reflect changes in the value of the services. (Complaint PLD-C-001(1) BC-1;

⁴ BHS originally filed its motion for leave to file a FAC on October 3, 2025, and submitted a proposed FAC therewith. But on May 14, 2026, BHS filed this Amended Motion for leave to file its FAC and submitted a new proposed FAC attached to the Declaration of Brian H. Song in support of Plaintiff’s Amended Motion (the “Amended Song Declaration”) for Order Granting to File First Amended Complaint filed on May 14, 2026. Under California law, an amended pleading supersedes the original pleading, rendering the original pleading without legal effect as a pleading. (See, *State Compensation Ins. Fund v. Superior Court* (2010) 184 Cal.App.4th 1124, 1130.) Likewise, the Amended Motion filed on May 14, 2026 and its supporting papers replaces the original motion filed on October 3, 2025 and its supporting papers.

Hence, so that the record is crystal clear, the FAC that the Court now considers for purposes of this Amended Motion is the proposed FAC attached to the Amended Song Declaration filed on **May 14, 2026**, *not* the earlier version filed on October 3, 2025.

¶ 6.)

Due to personal reasons, managing attorney Song forgot to raise the billing rates in accordance with the Engagement Agreement until mid-2024, when he sought to correct the mistake by redoing the past invoices. Moreh disagreed, refused to accept the changed invoices, and refused to pay the new balance of \$439,055.71. (Complaint PLD-C-001(1) BC-4; ¶¶ 7, 13.)

As a result, BHS filed this this action on March 26, 2025, alleging causes of action in its original Complaint for:

- (1) breach of contract,
- (2) common counts,
- (3) unjust enrichment,
- (4) breach of covenant of good faith and fair dealing, and
- (5) promise made without intent to perform.

II. Legal Standard

Under the California Rules of Court 3.1324, a motion to amend a pleading must include a copy of the proposed amendment or amended pleading, which must be serially numbered to differentiate it from previous pleadings or amendments, and must state what allegations in the previous pleading are proposed to be deleted or added, if any, and where, by page, paragraph, and line number, the allegations are located. (Cal. Rules of Court, rule 3.1324(a).) The motion must also be accompanied by a declaration attesting to the effect of the amendment, why the amendment is necessary and proper, when the facts giving rise to the amended allegations were discovered, and why the request for amendment was not made earlier. (Cal. Rules of Court, rule 3.1324(b).)

California appellate precedent instructs that “Courts must apply a policy of liberality in permitting amendments at any stage of the proceeding, including during trial, when no prejudice to the opposing party is shown.” (*Duchrow v. Forrest* (2013) 215 Cal. App. 4th 1359, 1377 (citing *P&D Consultants, Inc. v. City of Carlsbad* (2010) 190 Cal. App. 4th 1332, 1345).) In this context, prejudice exists where the amendment would result in a delay of trial, added costs of preparation, and increased burden of discovery. (*Magpali v. Farmers Group, Inc.* (1996) 48 Cal. App. 4th 471, 468-488; see also *P&D Consultants Inc., supra*, 190 Cal. App. 4th at 1345 (“even if a good amendment is proposed in proper form, unwarranted delay in presenting it may—of itself—be a valid reason for denial.”) (leave to amend properly denied where Plaintiff knew for over five months claims had not been properly pleaded and took no action to amend until after summary judgment granted against it.)

III. Analysis of the Amended Motion

The papers filed on the Amended Motion raise three issues:

- (1) whether amendment should be denied as "futile" based on Moreh's contention that the FAC rests on false allegations about Jong Taek Won's corporate authority;
- (2) whether BHS' delay and asserted noncompliance with California Rules of Court, rule 3.1324 justify denial; and
- (3) whether Moreh has shown cognizable prejudice.

BHS contends that its proposed FAC does not introduce new parties or fundamentally new theories of liability; rather it refines its breach of contract and common count claims by clarifying the parties' course of dealing and streamlines the complaint by removing three causes of action and adding one. (Amended Motion at 4:6-14)

In the supporting Amended Declaration of Brian Song filed on May 14, 2026, he attests that the attached proposed FAC makes the following changes vis-à-vis the original Complaint:

- a. It replaces the judicial forms used in the original Complaint with drafted pleading in alleging First Cause of Action in Breach of Contract and Second Cause of Action in Common Count.
- b. It removes the Fourth, and Fifth Causes of Action in Breach of Covenant of Good Faith and Fair Dealing, and Promise Made without Intent to Perform, respectively.
- c. It adds a new Third Cause of Action in Detrimental Reliance. The previously Third Cause in Unjust Enrichment is now renumbered as Fourth Cause of Action. It also clarifies that Unjust Enrichment is asserted either as a cause of action or form of relief.
- d. The proposed FAC does not add any new party.

(Amended Song Declaration ¶ 5)

Mr. Song adds that the proposed FAC further removes details of his personal hardship and expands factual allegations regarding the parties' working relationship since Moreh's written discovery responses reveal its plan to shield Jong Taek Won from this action and not to call him as a witness. (*Id.* ¶¶ 7, 9, 10)

In Opposition, Moreh argues BHS' Amended Motion is procedurally defective and non-compliant with Cal. Rules of Court, rule 3.1324(a) because it fails to identify any valid grounds necessitating the amendment, and what allegations are added or deleted let alone identifying the page, paragraph and line number of such change. Moreh emphasizes that whether it plans to call Mr. Won as a witness is not a valid ground for amendment,

particularly considering that BHS, as counsel for Moreh, was aware of Mr. Won's corporate status before filing its complaint. (Opposition at 9:13-10:9) (filed: June 4, 2026).

Moreh goes on to argue that the Amended Motion is also substantively meritless and prejudicial because the proposed FAC (1) is futile and premised on false allegations that Mr. Won was an officer or an employee of Moreh, and (2) fails to state a viable claim for detrimental reliance. Moreh also invokes Code of Civil Procedure section 436(a) to argue false matter is subject to being stricken. (Opposition pp. 4:13-6:22.)

As for the Amended Motion non-compliance with Cal. Rules of Court, rule 3.1324(a), Mr. Song's Amended Declaration describes the effect of the amendment and the nature of changes. While Moreh argues this is insufficient, the Court has discretion to find substantial compliance where the purpose of the rule is served—and hereby finds substantial compliance. As such, the Court exercises its discretion to consider this Amended Motion on the merits. (*Howard v. County of San Diego* (2010) 184 Cal.App.4th 1422, 1428.)

As for Moreh's substantive arguments, on the record provided, the futility argument depends on the Court making a finding of facts on the merits, i.e., whether Mr. Won in fact held authority and whether BHS' allegations are false. But BHS has produced documents (Secretary of State filing signed by Mr. Won as corporate officer, Moreh's Board of Director's Consent signed by Won as director, SEC Form D listing him as executive officer/director, and emails using a Moreh email address) that raise disputes of fact—which is emphatically the province of the jury as finder of fact *at trial* to resolve, not a Judge at the pleadings stage to resolve—over the factual basis to plead Mr. Won's role and apparent authority for purposes of amendment. (See, Brian Song Reply Decl. Exhibits A – F) (filed on June 1, 2026).

So in this procedural posture on a motion to amend the pleadings, and especially in light of the well-established policy of California law permitting liberal amendment of pleadings, the Court GRANTS BHS leave to file the FAC—whose veracity Moreh will have the full and fair opportunity to challenge through the standard procedures of the California Code of Civil Procedure including (but not limited to) dispositive motions and trial by jury.

While Moreh's reliance on Code of Civil Procedure Section 436 is not irrelevant, the standard practice is to use Section 436 through a motion to strike directed at the pleading itself. In contrast, the question raised here is whether leave to amend should be denied because Defendant says the allegations of the FAC are false. But given Plaintiff's documentary proffer discussed above, the Court has a basis to find and does find that the allegations of the FAC are plausibly supported and thus more appropriately challenged through the standard procedures of the California Code of Civil Procedure including (but not limited to) dispositive motions and trial by jury.

Likewise, Moreh's argument that the proposed FAC fails to state a valid cause of action for detrimental reliance is directed at the pleading itself and will be more appropriately framed as an issue on demurrer rather than as a basis to deny *leave to*

amend now.

Lastly, Moreh does not present concrete prejudice (e.g., discovery impairment, lost evidence, trial disruption) that may result if leave to amend is granted. There is no trial date set in this action and according to declaration of Jinhee Kim (submitted in support of Moreh's opposition) discovery is ongoing and depositions are scheduled for June 2026. (Jinhee Kim Decl. ¶¶ 9, 10.)

In light of the Court's findings and rulings above, Moreh's request for sanctions is unfounded and DENIED.

IV. Conclusion & Order

Accordingly, BHS' Amended Motion for Leave to File a First Amended Complaint is **GRANTED**. Specifically, BHS is **ORDERED** to file its First Amended Complaint (the version attached to the May 14, 2026 Amended Song Declaration) within 10 days of today.

Moreh's request for sanctions under Code. Civ. Proc. § 128.7 is **DENIED**.

SO ORDERED.

Date: June 10, 2026

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

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